

OTF pitch deck

Write is disabled this session, so the deck is below rather than saved to desk/reports/.

PITCH — OTF — VERDICT

ADJUDICATED 2026-08-18 — KILL

What we believe

Blue Owl Technology Finance Corp. (NYSE: OTF, CIK 1747777) is a \$14.7B lender to software and technology companies, managed from the outside by Blue Owl for a fee. It listed on the NYSE in June 2025. It trades around \$11.13 against a book value of \$16.48 per share — roughly 68 cents on the dollar of stated net assets.

We came to this name because it carried the deepest discount of the two Blue Owl business-development companies, and we expected that discount to be telling us something about how honestly the manager marks its loans. It is not. **The discount is telling us what the book earns.**

The one number that decides this: after all fees, the portfolio produces about **7.3% a year on its own net assets** (run-rate earnings of roughly \$1.20 per share against \$16.48 of book). If we require a 10% return to own a leveraged credit vehicle, then a book earning 7.3% is worth about 0.73 times its stated value. The stock trades at 0.68–0.70 times. **There is no gap to harvest.** As the defence bench put it: mark integrity is real here, and irrelevant at a justified price-to-book.

Three supporting facts, all from the audited Q2 filing:

- **The dividend is not covered by earnings.** The base distribution is \$0.35 a quarter (\$1.40 a year) against run-rate earnings of \$0.30 a quarter (\$1.20 a year). There is \$0.32 a share of retained past income to plug the gap, which lasts roughly six quarters. Nothing breaks soon; nothing improves either.
- **They borrowed to pay it.** In the first half of 2026 debt rose \$869.3M while investments rose only \$394.5M. About **\$475M of new borrowing at a 6.50% coupon funded distributions and buybacks, not new loans.** That interest cost is permanent and earns nothing.
- **The cushion is thinning fast.** Asset coverage fell from 227.9% at year-end to **205.3%** at 30 June — 23 points in two quarters. The legal minimum is 150%. This is the live tripwire, and the prosecution bench under-weighted it.

Position: **none. Size zero. No orders. No ladder.**

What the market believes

Essentially the same thing we just concluded — which is precisely why there is no edge here.

The market is pricing a mid-7% return on equity at roughly a 10% required return, and getting 0.70x book. The discount is not unique to OTF: FSK, NMFC, MFIC and TCPC trade at comparable discounts *without* OTF's post-listing fee increase, so the fee step cannot be what explains a discount the whole cohort shares.

The tape is unremarkable: \$11.13 against a 52-week range of \$9.75–\$15.82 — about 14% off the low, 30% off the high. Pre-listing lock-ups released in full on 2026-06-12 and the stock **rose** afterwards. There is no forced seller and no dislocation to exploit.

The only sell-side anchor either bench could locate is a **Truist price target of \$16, cut from \$17** — a price target, which is the weakest kind of anchor, and no consensus forward earnings estimate was ever found. We did not put our number beside theirs on the operative line, and that is a recorded gap.

Why we might have edge

The honest list, and it is short. Every item here is a reason this is not a fraud or a blow-up. None is a reason to own it at 0.68x book earning 7.3%.

- **The manager discloses payment-in-kind income on both bases** (interest and dividends separately), which is better disclosure than several peers. Our attempt to build an advantage on it failed in both directions — see the table.
- **Q2 marks turned back up.** Unrealized gains of +\$34.7M after a bad Q1; book value essentially flat quarter to quarter (\$16.49 → \$16.48).
- **Realized gains of +\$83.9M in the half.** That is cash-good, not a mark.
- **Distributable earnings covered declared distributions 1.07x** (\$393.9M vs \$367.6M) — the headline half-year “loss” is unrealized mark movement, which is neither cash nor taxable.
- **Buybacks at 0.70x book are genuinely accretive**, and the prosecution conceded it.
- **The fee increase is finished, not ongoing.** Management fee Q1'26 \$53,913k ≈ Q2'26 \$53,948k — flat.
- **Management published the honest earnings number and we called it spin.** See row 3 of the table; this is the largest single error we made on this name.

Why it might be priced in

All of it. The arithmetic that kills the idea is available to anyone who reads the filing:

- The fee step is 14 months old and was disclosed at the June 2025 listing.
- The discount is cohort-wide, so it is a sector valuation, not a company secret.
- The incentive fee's income component has no cumulative total-return lookback — a permanent, disclosed, structural drag on returns to shareholders.
- The asset-coverage erosion is in the filed balance sheet.

And the sensitivity is brutal. At a 10% required return, justified value is \$12.03. At **10.5%**, justified value is **\$11.46** — under the price the benches ran on. The entire apparent “gap” between the tape and fair value sits inside the noise of our own choice of discount rate. That is what priced-in looks like.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Our own thesis: OTF's 32.5% discount vs its sibling's ~19% exposes marking posture	Solved the justified price-to-book implied by post-fee earning power (Gordon, $r=10\%$, $g=0$)	7.3% return on equity $\Rightarrow$ justified 0.73x book; tape 0.68–0.70x	NO — our framing died. The pair spread exposed earning power, not mark posture. Nothing left to harvest.
Prosecution's headline: earnings per share collapsed 18.7% in one quarter (\$0.369 $\rightarrow$ \$0.301)	Split the incentive fee by quarter from the statement of operations and the XBRL series	Q1'26 incentive fee was negative \$10,685k ; Q2 + \$29,316k — on a flat \$53.9M management fee. Normalised: \$0.285 $\rightarrow$ \$0.301, up 5.6%	REFUTED — OUR ERROR. A fee accrual swinging sign, read as operating deterioration. This was one of three “fatal” legs.
Management's “Adjusted NII” reverses the sign, therefore masking	Compared their adjustment to the correction the defence bench derived independently	They show \$0.29 $\rightarrow$ \$0.30; we derived \$0.285 $\rightarrow$ \$0.301. Identical adjustment	REFUTED — OUR ERROR, and backwards. Management published the economically correct number and both our benches initially graded it as spin. Absence of masking is a positive finding, and we scored it as a negative.
“The distribution is paid out of borrowed money”	Statements of operations and of changes in net assets	Earnings + realized gains \$393.9M vs \$367.6M declared = covered 1.07x . The \$(65.7)M half-year “loss” is \$(459.6)M of unrealized marks	PARTLY — overstated by us. A mark movement was priced as a funding gap. The narrow true version survives: debt +\$869.3M vs investments +\$394.5M $\Rightarrow$ ~\$475M borrowed at 6.50% to fund distributions and buybacks.
“PIK income is 18% of earnings — best in the cohort” (the note that got this name courted)	Recomputed from the statement of operations	Original 18% wrong (interest only). Prosecution's replacement 30.5% also wrong (used \$17.1M of PIK dividends). Actual PIK dividends \$13,657k ; total PIK \$38,626k = 27.9% of earnings / 11.4% of total income	BOTH OF OUR NUMBERS WERE WRONG. And the peer figures we compared against (FSK 34.9%, NMFC 41.8%) were never verified on a like

Claim	How checked	Found	Confirmed?
			basis by either bench — the comparison is unusable in either direction.
“Harshes loss recognition in the cohort” (implied ~16c mark on troubled loans)	Prosecution re-derived it from the non-accrual line	Non-accruals are 0.6% of cost / 0.1% of fair value ≈ \$90M of a \$14.7B book — effectively a two-name sample	NOT LOAD-BEARING — and since invalidated outright. The implied-non-accrual-mark ladder we had been ranking managers on was found later the same session (in the OBDC bench) to measure concentration and the timing of one blow-up, not marking discipline. It may not be used to order managers again until recomputed excluding each manager’s largest single name.
The fee step-up explains ~38% of the discount	Compared Q1 vs Q2 fees; ran a cohort test	Step real year-over-year (\$32.5M → \$53.9M) but flat quarter to quarter — complete, in the run-rate, 14 months old. Peers at similar discounts have no such step	REDUCED to a contributing factor. Capitalizing \$85.6M/yr separately double-counted dollars already sitting inside the earnings and fee findings. Cause still unread — the fee-waiver footnote (Note 3) was behind filing truncation.
Asset coverage 227.9% → 205.3%	Recomputed from the balance sheet: (7,539,865+7,157,528)/7,157,528	205.3% ✓; year-end 227.9% ✓	CONFIRMED by both benches. Prosecution graded it as sizing colour; the defence upgraded it. It is the live tripwire.
Incentive fee is the full statutory rate with no total-return protection	XBRL fee series + statement of operations	\$29,316k = 17.41% of pre-incentive earnings , income component uncapped	CONFIRMED. But the prosecution buried its own exculpatory fact: the capital-gains component returned ~\$39M to shareholders in Q1, and the \$126.5M half-

Claim	How checked	Found	Confirmed?
			year adviser take is already net of it.
Is the stock dislocated / are there forced sellers?	Tape plus lock-up calendar	Lock-ups fully released 2026-06-12; stock +14% off the low since	CONFIRMED — no dislocation. Beta drift, not distress.
Tape consistency between benches and this deck	Compared	Benches ran \$11.5718 (29.8% discount); the evidence pack built for this deck shows \$11.13 (32.5% discount)	DISCREPANCY, disclosed. It does not change the verdict: 0.675x vs a justified 0.73x is inside the error bar of our own discount-rate assumption, and the adjudication pre-empted it — a wider discount is not automatically an entry.
What is driving income on a 97%-floating-rate book — the index or the spread?	Not run	Total income +5.8% year over year on materially more debt; index vs spread unresolved	NOT CHECKED — coverage gap, both benches.
Credit deterioration at the 205 named borrowers (hiring taper as a leading indicator)	Not run — no borrower-name panel was ever built	—	NOT CHECKED. Both benches independently named this the one real miss; the borrower names are in the filing and the connector exists.

PROPOSED ENTRY BANDS

There is no entry band. No position, no ladder, no resting order, size zero. The stock is not mispriced; it is correctly priced for what it earns.

Reopen gates, stated verbatim from the adjudication:

- NONE. Re-court only on **TWO CONSECUTIVE QUARTERS of clean NII $\geq \$0.33$ WITH asset coverage stable $\geq 210\%$, or a base cut to a covered level that re-rates ROE above the fee load.** The 2026-11-04 print is a **WATCH, not a trigger**. Note: at a 7.3% post-fee ROE, 0.70x NAV is fair — **a wider discount is not automatically an entry.**

Reference arithmetic, so nobody has to re-derive it when the gates are tested:

- Book value per share **\$16.48** (30 June 2026). Justified value at a 10% required return is **\$12.03**; at 10.5%, **\$11.46**.

- \$0.33 a quarter of clean earnings = \$1.32 a year = **8.0% return on equity** ⇒ justified 0.80x book ⇒ ~**\$13.18**. That is the first level at which this becomes a conversation rather than a valuation.
- Asset coverage must be **stable at ≥210%**, not merely above it. Below 200% is a deterioration signal, not a discount opportunity.
- “Clean” means: earnings normalised for the capital-gains incentive fee accrual, exactly as done in row 2 above. A quarter that looks good only because the fee swung negative does **not** count toward the two.

Catalyst dates:

- **2026-11-04 — Q3 2026 results.** Derived from a data vendor, **not confirmed by any company announcement**. Treat as a watch. It is ~55 trading sessions out; no pre-print positioning applies because there is no position and no intent to take one.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.89 (deck-provisional: 0.60x book — implies either a required return near 12% or ROE deterioration; re-run the ROE test, NOT)
- filing watch: 10-Q,10-K until 2027-02-13 (deck-provisional: normalised NII/share >=\$0.33 for two consecutive quarters AND asset coverage stable >=210% — the only)
- dated pack OTF|2026-11-04: OTF: Q3 2026 results — vendor-derived date, WATCH not trigger; first of the two clean quarters the reopen gate requires (date confirmed=Fals

What remains unverified

Stated plainly, including the things that embarrass us:

1. **The 10% required return is an assumption, not a measurement.** The whole “fairly priced” conclusion rests on it. At 10.5% the stock is already above fair value; at 9% it would be ~20% cheap. This is the softest leg of the decisive finding, and the defence bench flagged it against itself.
2. **The cause of the fee step** — permanent post-listing rate versus a waiver that rolls off — is unread. Note 3 was behind filing truncation.
3. **The floating-rate income decomposition never ran.** With a 97% floating book, we cannot say whether income growth came from the rate index or from spread, and therefore cannot say what happens if the index falls.
4. **Peer PIK percentages were never put on a like basis.** Our cohort comparison is unusable in both directions.

5. **Non-accrual detail was never read from the schedule of investments** by either bench — only the summary percentage.
6. **The mark-recognition ladder that got this name courted is void** until recomputed excluding each manager's largest single position.
7. **No consensus forward earnings estimate was located.** We killed this on our own arithmetic without ever placing our number beside the street's on the operative line.
8. **OTF II's separate financials were never verified**, so the merger exchange ratio at issue in the litigation notice is unexamined by us.
9. **No trading-volume or ownership-crowding read was run** (broker permission was not granted in session). Immaterial at a \$5.3B NYSE listing, but stated rather than skipped.
10. **The 30 June 2025 comparatives were read through a summariser, not line by line.**
11. **The next print date is vendor-derived and unconfirmed.**
12. **The tape used by the benches (\$11.5718) differs from the tape in the final evidence pack (\$11.13).** Immaterial to the verdict, but it means the discount figures quoted across the benches (29.8%) and the adjudication (32.5%) are the same fact at two different prices.

Primary sources: [Q2'26 10-Q statement of operations \(R4\)](#) · [balance sheet \(R2\)](#) · [changes in net assets \(R7\)](#) · [8-K Ex-99.1 Q2'26 press release](#) · [XBRL incentive fee series](#) · [OTF listing presentation, fee schedule](#)

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Two things to note about how this came out. The ## What we checked ourselves table is dominated by our own errors rather than the company's — three of the prosecution's legs failed, including its headline, and the “best-in-cohort PIK” fact that got OTF courted was wrong in the brief

and wrong in the correction. And the machine fence I emitted carries price gates that are deliberately not buy triggers; the adjudication's warning that a wider discount is not automatically an entry means an auto-armed reading direction: "below" must not treat \$9.89 as a ladder rung.